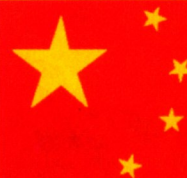




OLYMPIAN DREAM: Tiananmen Square all dressed up for China's coming-out party



Hustlers, prostitutes and rip-off artists throng places of tourist interest, including Tiananmen Square, where Mao's body lies

swift and permanent. Hence, the ham-handed manner in which they have handled the Tibet issue—banning tourists from visiting the region and the brutal crackdown—as well as the torch relay. The threat to the torch has never been experienced before and the Chinese don't quite know how to handle it except through diplomatic pressure, veiled threats and elaborate security, a compromise that hurts their image badly. The Olympic flame is spreading, but not in the way the Chinese would have wanted.

Even if the threat of a partial boycott is somehow averted, a bigger fear is athletes staging dissent with Chinese policy during the Games, like the Black Power salute by American athletes in 1968 in Mexico. A similar act in Beijing would be a terrible embarrassment that would almost certainly see some prominent heads roll.

For the Chinese, the timing of the Olympics could not have been better—or worse, depending on which side of the table you are seated. China's rapid

modernisation and economic progress have led to impressive gains—Shanghai, with its towering glass and steel temples to commerce and affluence, looks more like Manhattan than Manhattan does. Everything is designed to inculcate pride and nationalism among the populace. China, in just the last two years, has acquired the world's tallest TV tower (468 m) and the world's fastest passenger train (430 kmph). The Maglev train is a prime example of China's obsession with the status of world number one. It was built in Germany, runs for just seven km from its station to Shanghai's Pudong airport, cost \$5 billion and operates at a loss. For the Chinese, the sole purpose is to fast-forward a sense of pride and nationalism.

That pride has been severely dented by the Tibet-related embarrassment and the face of China that could be exposed when the world arrives in Beijing this August. "When the rest of the world looks at China, they see this powerful, confident country," says a Beijing-based diplomat, "but the Chinese leadership sees the exact

opposite: rising inflation and civil unrest, environmental threats and corruption. So the central authorities are very insecure and nervous."

The problems are typical of a society that has experienced dizzying progress and change. Every day, the newspapers carry stories of corrupt officials being jailed because of bribery. 'Get rich quick' is the accepted mantra in a China where capitalism is rampant and encouraged. In Beijing, the smog is your shadow thanks to emissions from the endless parade of vehicles. The authorities have been forced to take drastic action. Some 1,300 petrol stations in Beijing are being upgraded to cut fumes and the rest will be shut down. Construction activity will be curtailed in five provinces around Beijing two months before the Games, the same time that Beijing and neighbouring Tianjin will restrict private car use, allowing only odd or even registration numbers to go out on any given day.

Some of China's economic statistics are imposing, but not all. Inflation is running at 8.7 per cent, the highest